Kharg Island

US strikes 90+ targets on Iran's oil hub. Brent $103. 200DMA 36pts away. GTC Monday. FOMC Wednesday.

MARKETS

THIRD CONSECUTIVE WEEKLY LOSS. S&P –0.57% to 6,632, extending its first three-week losing streak in about a year. Dow –0.23%. Nasdaq –0.59%. Russell –0.33%. UVXY +2.89%. Brent closed at $103.14, its second straight day above $100 and highest since August 2022. WTI settled at $98.71, up 3.1%. Friday opened green on PCE relief but selling resumed in the afternoon as the war overpowered the data. Weekly: Dow –2%, S&P –1.6%, Nasdaq –1.3%.

PCE landed as the pre-war baseline: headline 2.8% YoY (vs. 2.9% est), +0.3% MoM in line. Core PCE came in hot: +0.4% MoM, 3.1% YoY. The Dallas Fed Trimmed Mean PCE—the cleanest signal—was 2.43%. This is January data, pre-war. The February print (due April 9) will carry the full oil shock. The Fed has room to hold, but zero room to cut. FOMC meets Tuesday–Wednesday.

After the close, Trump announced US forces struck 90+ military targets on Kharg Island—Iran's crown jewel, handling 90% of crude exports. Oil infrastructure was deliberately spared, but Trump issued an ultimatum: strike the oil facilities if Iran keeps blocking the Strait. Iran responded by threatening to reduce US-allied oil infrastructure to ashes. IRGC warned UAE ports are legitimate targets. A drone struck Fujairah, a major UAE oil hub, suspending some loading operations. Expect oil to gap higher Sunday night.

10-year yield at 4.26%—highest since early February. 30-year mortgage rates at 6.11%, the biggest weekly increase since the Liberation Day tariff shock. Rate cut odds: zero for March, barely coin-flip for September. Market prices just one cut for all of 2026, down from three a month ago. TLT –0.49%. UMich consumer sentiment at 55.5, down 1.9% from February.

Utilities led all sectors (XLU +1.01%), followed by staples (+0.61%) and energy (+0.37%). Tech –0.74%, materials –0.99%. The defensive rotation is textbook. Retail oil ETF buying hit a record $211M on Thursday. BTC hit $73,800 intraday before fading to ~$71K—up ~8% in March while equities sink. Fear & Greed at 16, Extreme Fear. The 30-day BTC funding rate has been negative for 14 consecutive days, the longest stretch since December 2022—historically a local bottom signal.

IOWN Tactical: S&P at 6,632 (SPY $662.31). Down ~5.3% from January ATH of 7,003. The 200-day moving average is at ~6,596—just 36 points below. Hasn't been broken in 10 months. That's the technical line in the sand. Our –20% buy trigger is at ~5,600. We're not there yet, but the Kharg Island escalation could accelerate the timeline. If the 200DMA breaks, next support is 6,400. Research Reveals Opportunities—but patience is a discipline.

GEOPOLITICS

DAY 15. KHARG ISLAND STRUCK. The biggest overnight escalation since the war began. US forces hit 90+ military targets on Iran's economic lifeline—Kharg Island handles 90% of crude exports. Oil infrastructure was spared, but the ultimatum is clear: reopen Hormuz or the oil terminals are next. Iran threatened to reduce all US-allied oil infrastructure to ashes. IRGC declared UAE ports legitimate targets. A drone struck Fujairah, a major UAE oil hub, suspending some loading operations.

Trump claims Iran is totally defeated and seeking a deal. Iran is sending the opposite signal: deploying upgraded missiles, threatening Gulf neighbors, and keeping Hormuz shut. A Turkish ship was allowed through earlier this week. Iran is reportedly mulling limited passage in Chinese yuan—a de-dollarization play inside a war. 5,000 additional Marines deploying to the region. The UK is allowing US bombers to launch from British bases. At least 1,444 killed in Iran since Feb 28.

The reserve math: IEA 400M barrels + US SPR 172M = 572M barrels. Global consumption is 105M bpd. Hormuz normally handles ~20M bpd. At current disruption levels, 572M barrels buys roughly 28 days. The clock started Wednesday. If Hormuz doesn't reopen by mid-April, reserves are depleted and oil goes to $120+ again. US gas nationally at $3.68 and heading for $4+. Gas prices are up 23% since the war began.

ON OUR RADAR

1. Kharg Island changes the calculus. Oil spared for now. But the ultimatum is live: strike oil if Hormuz stays shut. Iran threatened to torch all Gulf infrastructure in response. Expect Sunday night futures to price this in. If Fujairah operations remain suspended, Brent could gap to $110+.

2. The 200DMA is now 36 points away. S&P at 6,632, 200DMA at ~6,596. This level hasn't been broken in 10 months. If it fails Monday, next support is 6,400 (November lows). Our –20% buy trigger is ~5,600—still 16% below. Don't front-run the signal. Patience is a discipline.

3. GTC Monday is the week's first catalyst. Jensen Huang's keynote has historically been NVDA's biggest catalyst of the year. If he delivers a blockbuster AI roadmap—Vera Rubin supply chain, NemoClaw AI agent platform, new inference chip—semis could decouple from the oil trade. Semis are down 15–25% from recent highs. GTC is the potential inflection.

4. FOMC Wednesday is the macro anchor. Hold is certain. But Powell's tone on the dual mandate—3.1% core PCE vs. a war-driven growth shock—sets the rate path narrative. Market prices one cut for 2026, down from three a month ago. If he closes the door entirely, bonds sell further and the 200DMA breaks.

5. The defensive rotation is accelerating. Utilities, staples, and energy are the only green sectors. Dividend stocks outperforming growth for the second straight day. The market is repricing for a sustained supply crisis, not a temporary shock. Avoid Erosion.

6. BTC is quietly winning the war trade. Up 8% in March while equities sink. 14-day negative funding streak matches December 2022 bottom conditions. If equities crack the 200DMA and BTC holds $70K, the decoupling narrative goes mainstream. GTC Monday, FOMC Wednesday. The next five trading days will define Q1.

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